

From the information gleaned from both the net worth sheet and the creditors list, you now know whom you owe and whether you have any funds available to pay your obligations. You may discover that you do not have any assets that you can sell or borrow against. In this case, you are going to need to negotiate reduced payments with your creditors until your situation improves.

When you finally discuss your situation over the phone with the collector's agent, you should have all of your information handy. You need the letter to remember the payment arrangements you determined you could handle. The net worth sheet lists your assets that may be used to free up some cash. Some of these assets can be liquidated (savings account or stock), sold (real estate or motorcycle), or borrowed against (401(k) plan) in order to get access to money. This cash can be used to pay your bills until you catch up or find employment. Finally, the list of creditors will remind you of everyone you need to contact. By having a list of all your creditors in front of you, you won't be talked into paying any one creditor too much and then be left with no money to pay the others.

An important point to remember before you make your phone call is that a bill collector will almost always be friendlier if you call them *before* they call you. If you avoid the collector by never returning their calls or opening their mail, you are going to make them less willing to work something out when they finally catch up with you. Contacting the collector first lets them know that you are responsible and willing to work towards repaying your debt.

It is also important to realize that you do have protections under the Fair Debt Collection Practices Act (FDCPA). This act covers third party or outside collectors, not the original creditor with collection departments of their own. The FDCPA requires that debt collectors treat you fairly by prohibiting certain methods of debt collection. Collectors may not:

